of globalisation). But an economy like India which has great growth potential but wretched human development, a lower level of inflation will hinder its growth (there is trade off between inflation and growth). As inflation crossed the 7 per cent level by the first week of April 2009, the government has taken many measures to cool it down. But in the long-run every attempt to cut it to 3 per cent level will hamper investment and growth.

Indian economy is today faced with the above-given twin and paradoxical challenges regarding inflation targeting.

Q. 31 Write a brief note on the role played by the Micro Management of Agriculture (MMA).

Ans. The MMA is a Centrally sponsored programme launched in 2000-01 aimed at complementing/supplementing the States' efforts towards enhancement of argicultural production and productivity. The Revised (2008-09) MMA has the following salient features:

(i) Funds are allocated on gross cropped area basis (unlike on historical basis of past).

(ii) Subsidy structure rationalised and made similar to the other schemes sponsored by the Centre.

(iii) Two new components have been added, namely – (a) Pulses and Oilseeds Crop Programmes (POCPs) for the areas not covered under the Integrated Scheme of Oilseeds, Pulses, Oil Palm and Maize (ISOPOM) and (b) Reclamation of Acidic Soil (RAS) launched along with the existing component of Reclamation of Alkali Soil (RAS).

(iv) Ceiling for new initiatives increased to 20 per cent (from 10 per cent).

(v) 33 per cent of the funds earmarked for small, marginal and women farmers.

(vi) Active participation of the PRIs in review, monitoring and evaluation.